The Culture of Business, Finance and the Economy

Class 2 – March 6

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First semester 2026

Recap

Culture: a way of knowing, a way of relating to what we know

That form of knowing the world – that *culture* – is learned, nurtured, passed on, ritualised

Artefacts (things, objects, symbols, stuff) mediate culture and its learning, nurturing, passing on and ritualisation

Today

The Superiority of Economics

The point:
What does Economics and its superiority look like today? What are the main features of this superiority, how does this superiority work and how does it persuade us? How does this superiority perpetuate itself? Who perpetuates it?

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The Superiority of Economists†

Marion Fourcade, Etienne Ollion, and Yann Algan

“There exists an implicit pecking order among the social sciences, and it seems to be dominated by economics. For starters, economists *see themselves* at or near the top of the disciplinary hierarchy”

Also – they are wealthier, have better salaries and grants, they are better connected to industry, commerce, government and other organisations…

Intellectual, professional, political, economic, *moral* superiority

(this superiority is seen to stem from) far-reaching scientific claims linked to the use of formal methods; the tight management of the discipline from the top down; high market demand for services, particularly from powerful and wealthy parties; and high compensation. This position of social superiority also breeds self-confidence (...) fueling a natural inclination towards a sense of entitlement.

1. Insularity

Table 1

Citations from the Flagship Journal to Articles Published in the 25 Top Journals in Each Discipline, 2000–2009

(as a percentage of total citations in each journal)

	Cited journals (% of all references)			
Citing journal	*Top 25 economics journals*	*Top 25 political science journals*	*Top 25 sociology journals*	*Total number of papers/citations from this journal*
American Economic Review	40.3%	0.8%	0.3%	907/ 29,958
American Political Science Review	4.1%	17.5%	1.0%	353/ 19,936
American Sociological Review	2.3%	2.0%	22%	399/ 23,993

Table 2

Agreement or Disagreement with the Proposition: "In general, interdisciplinary knowledge is better than knowledge obtained by a single discipline."

American university professors in	*% Agree/ Strongly agree*	*% Disagree/ Strongly disagree*	*% No answer/ Don't know*
Economics	42.1	57.3	0.6
Sociology	72.9	25.3	1.8
Political science	59.8	28.0	12.2
Psychology	78.7	9.4	11.9
Finance	86.6	9.6	3.8
History	68.2	31.7	0.1

Interdiscipline citations across journals

Economics stands out with 81 percent of within-field citations in 1997—against 52 percent for sociology, 53 percent for anthropology, and 59 percent for political science

Economists, confident in the superiority of their discipline, are less likely to rely on other disciplines or even to acknowledge their existence

2. Method

Economists attribute their superiority and autonomy from other social sciences to their reliance on precisely specified and parsimonious models and measures. They see the field's members' endeavors to capture complex social processes through equations or clear-cut causality as evidence of the discipline's superior scientific commitments, vindicating the distance from (and the lack of engagement with) other social sciences.

“The ascension of economics results from the fact that our discipline has a rigorous language that allows complicated concepts to be written in relatively simple, abstract terms. The language permits economists to strip away complexity. Complexity may add to the richness of description, but it also prevents the analyst from seeing what is essential.”

Rigorous language: Maths, numbers, “laws”, abstractions

“[S]ociologists and political scientists have less powerful analytical tools and know less than we do. By scores on the Graduate Record Examination (GRE) and other criteria, our field attracts students stronger than theirs, and our courses are more mathematically demanding.”

The emphasis on quantitative reasoning (widely interpreted as a sign of higher intellectual capabilities) supports the often dismissive attitude of economists toward other social sciences.

Method and discipline imperialism

Economics has successfully conquered a segment of political science, law, accounting, and even psychology, sociology and philosophy and their combinations (International relations, Government studies, etc.) through rational choice theory, game theory, general equilibrium models, the deference to mathematics as a language and the impulse to mathematise relations that weren’t usually understood in mathematical terms.

3. A centralized, cohesive discipline

Harvard, Stanford, MIT, Yale, Chicago, Princeton, Columbia

1.er semestre

- Matemática I
- Economía I
- Contabilidad Básica
- Instituciones Políticas y de Gobierno
- Comprensión de Textos y Escritura

2.º semestre

- Matemática II
- Economía II
- Historia de Occidente a partir de la Modernidad
- Problemas Filosóficos

- Introducción a la Estadística
- Introducción al Derecho
- Microeconomía
- Economía Matemática

- Análisis Estadístico
- Historia Económica Internacional
- Macroeconomía
- Tópicos de Microeconomía

Course units for year 1

The course unit details given below are subject to change, and are the latest example of the curriculum available on this course of study.

Title	Code	Credit rating	Mandatory/optional
Microeconomics 2	ECON10232	10	Mandatory
Macroeconomics 1	ECON10241	10	Mandatory
Macroeconomics 2	ECON10262	10	Mandatory
Microeconomics 1	ECON10331	10	Mandatory
Power and Value: Perspectives from Social Sciences	SOCS15001	10	Mandatory
Fundamentals of Finance	BMAN10552	10	Optional
Fundamentals of Financial Reporting B	BMAN10621B	10	Optional
An Introduction to Development Studies	ECON10002	10	Optional
Introductory Mathematics	ECON10061	10	Optional
Advanced Mathematics	ECON10071A	10	Optional
Displaying 10 of 41 course units for year 1			

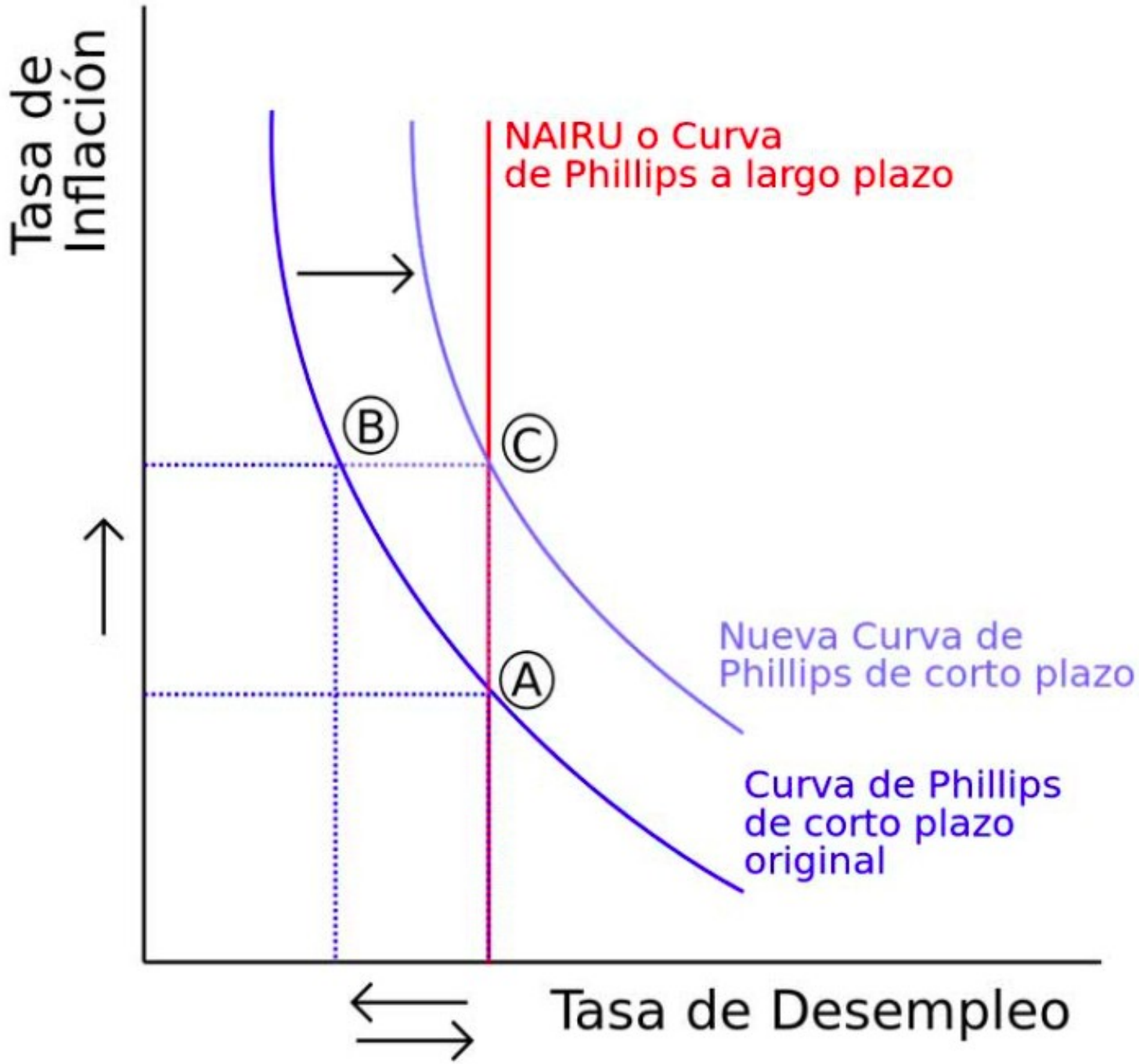
Course units for year 2

The course unit details given below are subject to change, and are the latest example of the curricu available on this course of study.

Title	Code	Credit rating	Mandatory/optional
Microeconomics 3	ECON20021	10	Mandatory
Microeconomics 4	ECON20022	10	Mandatory
Macroeconomics 3	ECON20031	10	Mandatory
Macroeconomics 4	ECON20032	10	Mandatory
Fundamentals of Finance	BMAN10552	10	Optional
Fundamentals of Financial Reporting B	BMAN10621B	10	Optional
Fundamentals of Management Accounting	BMAN10632	10	Optional
Investment Analysis	BMAN20072	10	Optional
Financial Markets and Institutions	BMAN21011	10	Optional
Financial Reporting and Accountability	BMAN21020A	20	Optional
Displaying 10 of 81 course units for year 2			

$$\pi_t = (\mu + z) - \alpha u_t$$

$$\pi_t - \pi_{t-1} = (\mu + z) - \alpha u_t$$


Tasa de Inflación
NAIRU o Curva de Phillips a largo plazo
B
C
A
Nueva Curva de Phillips de corto plazo
Curva de Phillips de corto plazo original
Tasa de Desempleo

Break

4. An expansion into business and finance

Business schools became “a thing” in the 1950s. They control the production of managers (through the MBA degree) and their programmes have normalized the extension of economic theory into business and finance.

With business schools, economists accessed higher levels of compensation, prestige, new connections and consulting opportunities.

5. A disposition to intervene

By method, prestige, networks, and sense of importance economists insulate themselves from other sciences but also from the public

“This growing social distance would be irrelevant if economists were not making it their mission to maximize the welfare of ordinary people”

Note on “welfare”

Economics is intertwined with public administrations, corporations, and international organizations; these institutions not only provide economists with resources and collect their data, they also foster a disposition to intervene in the world. Economists want to fix things, which is both a product of their theoretical confidence and of the position of their discipline within society.

Economists feel secure about their value-added, and tend to believe their high salaries reflect some true fundamental value, and a whole institutional structure—from newspapers to congressional committees to international policy circles—looks up to them for answers, especially in hard times.

Senior Assistant Economist

Department for Business and Trade

Birmingham, London, Teddington

Salary : £39,384 to £46,715

Closes : 11:55 pm on Sunday 18th August 2024

Reference : 362231

Department for
Business & Trade

Lead Economist - BBC Analysis

Department for Culture, Media and Sport

Manchester, London

Salary : £49,839 to £61,627

Closes : 11:55 pm on Tuesday 13th August 2024

Reference : 364095

Department for Culture, Media & Sport

Assistant Economist Band 4/HEO

Health and Safety Executive

Bootle, Buxton

Salary : £34,509 to £37,724

Closes : Midday on Friday 16th August 2024

Reference : 362188

Quantifying Economic and Industrial Policy Analyst

Department for Business & Trade

Department for Business and Trade

Belfast, Birmingham, Cardiff, Darlington, Edinburgh, London, Salford

Central Digital and Data Office Logo

Salary : £53,560 to £63,481

Closes : 11:55 pm on Sunday 18th August 2024

Reference : 363039

Senior Data Analyst

Central Digital and Data Office

Bristol, London, Manchester

Salary : £53,400 to £66,875

Closes : 11:55 pm on Sunday 11th August 2024

Reference : 364618

Central Digital
& Data Office

Economic Adviser - Head of International Economic Security Modelling

HM Treasury

This post can be based in London (1 Horse Guards Road) or Darlington (Feethams House).

Salary : £52,960 to £62,190
Closes : 11:55 pm on Wednesday 14th August 2024
Reference : 363912

Senior Welfare Analyst

Office for Budget Responsibility

City of Westminster, London (region), SW1H 9AJ

Salary : £56,400 to £70,300

Closes : 11:55 pm on Wednesday 28th August 2024

Reference : 364996

Community Accommodation Service Analyst (1 role available), Analysis Directorate, Ministry of Justice - (Ref : 89326)

Ministry of JUSTICE

Ministry of Justice

East Midlands (England), East of England, London (region), North East England, North West England, Scotland, South East England, South West England, Wales, West Midlands (England), Yorkshire and the Humber

Salary : £39,868 to £50,039
Closes : 11:55 pm on Tuesday 13th August 2024
Reference : 364106

Head of Gas Distribution Costs

OFGEM

Cardiff, Glasgow, London

Salary : £58,520 to £86,547

Closes : 11:55 pm on Monday 12th August 2024

Reference : 363430

Deputy Director, Economic Risks and Analytical Projects Unit

HM Treasury

This post can be based in London (1 Horse Guards Road) or Darlington (Feethams House).

Salary : £75,000
Closes : 11:55 pm on Sunday 11th August 2024
Reference : 363074

6. World makers

Economics, more than any other social science, has become a powerful transformative force: because of how their methods work, they do not simply depict a reality out there… they make it happen, even outright invent it, by disseminating their advice and tools.

$$F = G\frac{m_1 m_2}{r^2}$$

SCIENCEphotoLIBRARY

$$\overbrace{C(S,t)}^{\text{Call Price}} = \overbrace{N(d_1)}^{\text{Risk-adj. prob. that option won't expire ITM}}\underbrace{S}_{\text{Stock Price}} - \overbrace{N(d_2)}^{\text{Risk-adj. prob. that option will expire ITM}}\underbrace{K}_{\text{Strike Price}}\overbrace{e^{-rT}}^{\text{Discounts strike price to present time}}$$

Conclusion

A world made by the culture of economists

Their way of seeing, of knowing, of engaging other things